

Week ending 09th October 2020

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day**,**182-day** and **364-day** T-bills were over-subscribed recording subscription rates of **186%, 39%** and **150%** respectively. The CBK accepted KES **7.4B**, **3.3B** and **14.1B** respectively of the bids for the **91-day, 182-day** and **364-day** T-bills on offer.

In October, Central Bank of Kenya re-opened two fixed bonds **FXD1/2011/20-(10.6Yrs) and FXD1/2018/25-(22.7Yrs)** in a bid to raise **50 Billion**. The coupon rates for the bonds are **10.000%** and **13.400%** respectively**.** The period of sale for the bonds runs from **28/09/2020** to **13/10/2020.** The bonds attract a withholding tax of **10%** each.

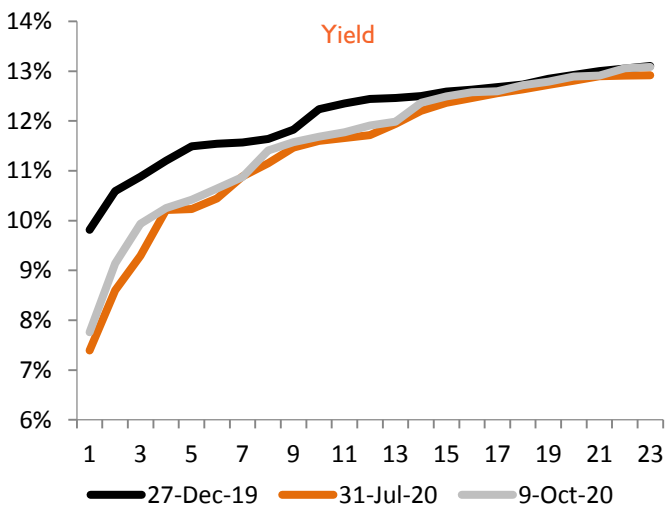
We advise investors to bid within the range of **11.95%** to **12.10%** and **13.40%** to **13.60%** for the **FXD1/2011/20** and **FXD1/2018/25** respectively as we expect moderate demand for the papers. For more information click here.

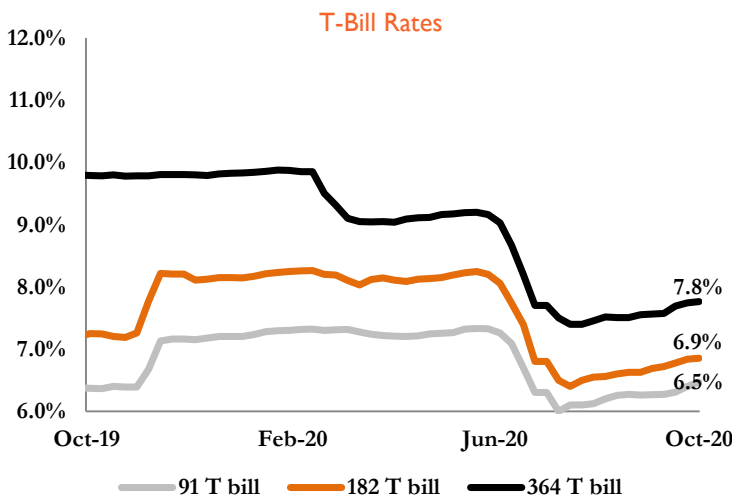
Key Indicators

	Current	Previous	% Change
91- Day	6.47%	6.40%	1.09%
182-Day	6.85%	6.84%	0.15%
364-Day	7.76%	7.74%	0.26%
Interbank Rate	2.04%	3.28%	-37.80%

Macroeconomic data	Current	Previous
GDP (1Q20 vs. 1Q19)	4.9%	5.5%
Inflation (September)	4.20%	4.36%
Private sector credit growth (June)	7.6%	8.1%
Money Supply (April)	6.2%	4.9%

Interest Rates





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the USD this past week depreciating by **0.03%** to stand at **108.52**.The CBK's usable forex reserves currently stand **USD 8,457million** (**5.13** months of import cover) as at October 08th a **0.89%** decrease from **USD8,533million**(**5.18** months of import cover) as at October 01st.

Inflation

Inflation decreased to **4.20%** in September. The CPI remained at **108.57.** This decrease occurred on the back of a drop in the housing, water, electricity, gas & other fuels and transport; information and communication indices which decreased by 0.05% and 0.01% respectively**.**

GDP growth

Growth receded to **4.9%** in 1Q20 from **5.5%** in the corresponding period of 2019. While the agricultural sector grew slightly by **0.2%** to **4.9%** year-on-year, other sectors have grown at a slower rate including manufacturing, construction and accommodation that slowed down by **0.6%, 0.8%** and **9.3%** respectively.

CONTACTS:

Research Desk
Sarah Wanga
Head of Research

Linda Kiraithe
Research Analyst

Email: research@aib-axysafrica.com

Equities Dealing
Bernard Kung'u

Benard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Email: trading@aib-axysafrica.com

Bond Dealing
Crispus Otieno

Titus Marenye

Email:
trading@aib-axysafrica.com

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication may not be distributed to the public media or quoted or used by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.